

SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA

Tentative Ruling

**2023CUOE010656: ELIZABETH ARELLANO, et al. vs SHAFFER ENTERPRISE LLC,
et al.**

**07/29/2026 in Department 44
Motion for Preliminary Approval**

Tentative Ruling: Class Action & PAGA Preliminary Approval of Settlement

Department Rules. Parties and counsel shall follow the Department 44 rules and Zoom protocols, available at <https://www2.ventura.courts.ca.gov/Courtroom/C44>.

Remote Appearances. The Court allows Zoom appearances as a courtesy to parties and counsel. The Court does not accommodate Court Call appearances. **You MUST register by 4:00 p.m. the court day before your hearing or you will be DENIED entry to the hearing:**

ZOOM Registration Link:

<https://ventura-courts-ca.zoom.us/meeting/register/iqN7uhQSQMuoQs-9TQXgEQ>

No advance notice is required to appear in person.

Tentative Rulings. Oral argument should address the tentative decision. To submit on the tentative decision, email courtroom44@ventura.courts.ca.gov before 8:00 a.m. on the hearing date, copying all other parties. Use the subject line “SUBMISSION ON TENTATIVE”, [Case Number], [Case Title] and [Party]. If not all parties submit, the hearing will proceed, and the tentative ruling may change.

The Court may adopt, modify or reject the tentative ruling after hearing. The tentative ruling has no legal effect unless and until adopted by the Court.

Motion: Motion for Preliminary Approval of Class Action Settlement & Approval of PAGA Settlement (“Motion”)

Tentative Ruling:

The Court has now reviewed the Motion and all papers submitted in support thereof, to include the First Amended Complaint, the Supplemental Declaration of Cody Bolce (April 15, 2025), the Supplemental Brief in Support of Plaintiff’s Motion for Preliminary Approval (May 18, 2026), the First Amended Complaint (May 8, 2026), the Proof of Service (May 8, 2026), the Second Supplemental Declaration of Cody Bolce (May 18, 2026), and the Answer (June 9, 2026). Plaintiffs have resolved most of the issues flagged by the Court on April 3, 2026. The following issues must be addressed before the Court will approve the Motion:

- 1) Plaintiffs have not provided proof of service of the First Amended Complaint or the Amended Settlement Agreement on the LWDA. The Court will require proof of submission of both documents prior to approval, and will inquire of Plaintiffs’ counsel at the hearing whether this information can be provided to the Court.

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- 2) The Amended Settlement Agreement was not accompanied by a Class Notice. Plaintiffs' counsel must provide the Court with a copy of the revised proposed notice that must also address and explain the terms of Plaintiffs' individual settlement.
- 3) Plaintiffs must submit a revised proposed order that accords with this ruling and that is a complete document; the proposed order may not incorporate non-attached documents by reference, and it must include a copy of the proposed class notice.
- 4) The Amended Settlement Agreement does not designate a cy pres designee. The parties shall select a cy pres designee and submit a declaration in compliance with Code of Civil Procedure section 384.
- 5) The Court will continue the hearing on the Motion sufficiently in the future for Plaintiffs to address items 1-4.

Once the above issues are resolved, the Court will GRANT the Motion as follows:

1. Summary of Proposed and Preliminarily Approved Monetary Terms.

Description	Proposed	Preliminarily Approved
Gross Settlement Amount	\$450,000	\$450,000
Less: Attorney Fees (not to exceed)	\$150,0000	\$150,000
Less: Costs (not to exceed)	\$53,000	\$30,000
Less: Administrative Costs (not to exceed)	\$20,000	\$8,950
Less: PAGA Penalties	\$45,000	\$45,000
Less: Service Award	\$15,000	\$4,500
Net Settlement Before PAGA add-back	\$167,000	\$211,550
Plus PAGA Penalty to Aggrieved Employees (allocated per Lab. Code § 2699(m)) ¹ (75/25)	\$11,250	\$11,250
Net Settlement After PAGA add-back	\$178,250	\$222,800

2. Timely Service. The Motion was timely served on all parties, to include service of the Motion and original settlement agreement on the LWDA. (Labor Code § 2699(s); Code Civ. Proc. §§ 1005, 1010.6.) Plaintiffs filed the first amended complaint, the operative pleading in this case, on May 8, 2026, and executed an amended settlement agreement in May 2026. Both of

¹ Effective for PAGA Notices filed before June 19, 2024, penalties recovered are allocated 75% (LWDA) / 25% (Aggrieved Employees). For PAGA Notices filed on or after June 19, 2024, penalties recovered are allocated 65% (LWDA) / 35% (Aggrieved Employees). (Labor Code § 2699(m).) The notice in this case is dated 2022.

these documents are required to be submitted to the LWDA under Labor Code § 2699(s). Plaintiff must provide documentation of same prior to Court approval of this Motion.

3. Conformity with Rules of Court. The Rules of Court govern the length and format of law and motion papers, to include that no opening or responding memorandum may exceed 15 pages absent leave of court (See Cal. R. Ct., rule 3.1113(d).); the font must be at least 12 points (Cal. R. Ct., rule 2.104); conforming exhibits that are appropriately indexed, tabbed or bookmarked, and paginated (Cal. R. Ct., rules 2.256(b) and 3.1110(f).) Counsel's compliance with these rules greatly aids in the review of papers filed with the Court, and also avoids delay in the Court's issuance of a decision on the merits. Noncompliance with these rules may cause delay in approval, or the Court to disregard noncompliant materials. (See Code Civ. Proc. §§ 187 & 128; see also *Bozzi v. Nordstrom* (2010) 186 Cal.App.4th 755, 765 [trial court has broad discretion to refuse to consider papers that do not comply with rule 3.1300(d)].) Plaintiffs' papers do not conform with the rules of court in that the electronically submitted papers are not appropriately indexed, tabbed, or paginated. Notwithstanding these deficiencies, the Court will consider the papers filed in support of this Motion. Counsel are on notice to file compliance papers in the future.

4. Fairness of Settlement.

The global settlement among the parties provides for a payment of \$450,000 to settle the wage and hour class and representative claims, and an additional \$150,000 to resolve Plaintiffs' individual claims for retaliation and wrongful termination, allocated as proposed in paragraph 1, above. This \$150,000 portion of the settlement, allocated among the Plaintiffs, is funded from Defendant's insurance, with 40% of the settlement to be paid to Plaintiff's counsel for attorneys' fees (\$62,940.04) and costs (\$2,940.04). In their supplemental filings, Plaintiffs indicate the allocation of settlement funds among wage and hour and the retaliation/wrongful termination claims was conceived by the mediator following a full-day mediation, who presented the allocation to the parties in a mediators proposal, which both parties accepted.

The Court has reviewed the motion, all supporting documents filed in support thereof, and finds that Plaintiff has met its burden to show that the settlement was obtained after an arm's-length negotiation, and is fair, adequate and reasonable. (*Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801 [adequacy and reasonableness factors include consideration of case strengths, risks, and posture; settlement amount; experience of counsel].) The Court has reviewed the terms of the PAGA settlement, and finds that the settlement is fair, reasonable, and adequate in view of PAGA's purposes. (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal. App.5th 56, 77 disapproved on other grounds in *Turrieta v. Lyft, Inc.* (2024) 16 Cal.5th 664.) In addition, the Court finds that the allocation between class claims and PAGA claims is fair. (*Id.*) Further, the Court finds that the scope of the release contained in the settlement agreement is fairly tailored to those that were or could be asserted in the lawsuit based on the facts alleged in the complaint. (*Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538-39.) The release does not include a Civil Code section 1542 waiver as to absent class members; to the extent it purports to, the parties shall justify it at final approval. (Civ. Code, § 1542.) The settlement is non-reversionary.

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5. **Conditional Class Certification.** The Court is satisfied that the proposed class should be certified for purposes of settlement as Plaintiff has met the requirements of Code of Civil Procedure, section 382 [ascertainability, numerosity, well-defined community of interest].

The class is defined as: “All non-exempt employees of Defendants in California at any time from June 19, 2019, to October 25, 2025.”

Aggrieved Employees under PAGA are defined as: “all non-exempt employees employed by Defendants from November 30, 2021 to October 25, 2025.”

Plaintiff(s) have analyzed the range of liability, and have provided information regarding the number of class members/aggrieved employees together with the average payout per employee, as follows:

Estimated Number of Class Members:	372
Estimated Class Payment:	\$470.17
Estimated Number of Aggrieved Employees:	Not provided
Estimated Average Allocation of PAGA Penalty to Aggrieved Employees:	Not provided

6. **Appointments.** The Court appoints plaintiffs **Elizabeth Arellano, Jonathan Elizarraraz, and Socorro Villegas** as the class representatives, plaintiff's counsel **the law firm of Mallison & Martinez** as class counsel, and **Phoenix Settlement Administration** as the Settlement Administrator.

7. **Notice to Class.** Plaintiffs counsel did not include a revised notice with the fully executed settlement agreement. The Court will require details about Plaintiffs' individual claims settlement to be included in the Class notice.

8. **Attorney Fee Award.** With respect to the request for attorneys' fees, the Court has independently scrutinized Plaintiff's request for a percentage fee to be paid from the common fund in the amount of **1/3 of the gross settlement amount**. At this juncture, and reserving the Court's discretion to select the method of fee recovery that best serves the facts at final approval, the Court approves a percentage **fee recovery up to 1/3 of the common fund as reasonable**. (*Laffitte v. Robert Half Internat. Inc.* (2016) 1 Cal.5th 480, 503.) The Court will exercise its discretion to determine the reasonableness of the fee using a **25 percent benchmark**. Counsel must justify fees that exceed the Court's benchmark in connection with the final approval motion.

9. **Incentive Award.** Plaintiffs in this case seek an incentive award of **\$15,000**. Here, the Court finds within its discretion that an award of up to \$1,500 reflects the class representative's actual effort, risk, and contributions to the litigation, and is not disproportionate to plaintiff's expended effort. (*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1393–1395.)

10. **Attorney Costs.** Costs are requested in an amount not to exceed \$53,000, with an unknown amount expended to date. The costs sought are exorbitant relative to cases of a similar nature. At final approval, the Court will require Plaintiffs to substantiate all costs sought, and will approve costs up to \$30,000.

11. **Claims Administration Costs.** Costs are requested in an amount not to exceed **\$20,000**, with a bid from Phoenix Settlement Administration for **\$8,950, which is the firm Plaintiffs' counsel requests this Court to appoint for this case.** Subject to Plaintiff's substantiating such costs at final approval with documentation, the Court will approve costs up to **\$8,950**.

12. **Cy Pres.** The Court requires the parties select a cy pres charity recipient in accordance with Code of Civil Procedure section 384. The parties have not done so.

13. **Implementation Schedule and Proposed Order.** Plaintiffs are to include a detailed implementation schedule to accord with the timeline provided in the Amended Settlement Agreement in the revised proposed order. The proposed order must be a complete document and may not incorporate by reference any document not attached to it. The proposed order must have as an attachment the class notice.

Subject to the conditions set forth above, the Court will GRANT the motion and sign a proposed order **to be modified in accordance with this order**. The Court will continue this hearing with sufficient time for Plaintiffs to submit 1) proof of service to the LWDA; 2) a revised proposed class notice; and 3) a revised proposed order.

The Court hereby will set a final approval hearing at the continued proceeding on a Wednesday at 1:30 p.m.

Plaintiff's counsel shall give notice.